

INVENTORY OPTIMIZATION REPORT (ABC / PARETO ANALYSIS)

Class	Number of Products	Total Revenue	% of Total Products	% of Total Revenue	Supply Chain Strategy
A	817	\$8,219,774.00	21.50%	80.00%	Tight Control. Review stock levels daily/weekly. Forecast accurately. Never run out. Store in the best location for fast picking.
B	963	\$1,537,145.00	25.40%	15.00%	Standard Control. Review monthly. Order in standard batch sizes. Keep moderate safety stock.
C	2011	\$514,115.60	53.00%	5.00%	Loose Control. Bulk order to save shipping. Allow higher safety stock (it's cheap). Don't waste expensive manager time analyzing these.

Key Insight: Only 21.5% of SKUs generate 80% of total revenue. Focus inventory investment on 'A' items.

